General principles and indicative list of eligible costs covered under GCF fees and project management costs

This document is as adopted by the Board and contained in annex IX to decision B.19/09, paragraph (b).

I. General principles

1. Schedule of fees disbursement:

(a) Ninety per cent (90%) of the agreed total fee will be disbursed following one of the following options, to be agreed upon between the Secretariat and the accredited entity (AE) or delivery partner (DP) and represented in the funded activity agreement (FAA) or other relevant agreements:

   (i) Disbursement in amounts proportional to and coincident with disbursement of project funds; or

   (ii) Disbursement according to a schedule proposed by the AE or DP, with substantiation of anticipated costs and their schedule, to be agreed with the Secretariat, with disbursement of fees along with the first disbursement of project funds not exceeding 50 per cent of the agreed total fee;

(b) Ten per cent of the agreed total fee will be disbursed after the recipient submits to the Secretariat the project completion report and any other requirement on project completion as specified in the FAA or other relevant agreement, with the substance of the submission to the satisfaction of the Secretariat.

2. Non-Duplication: the fees paid to an AE or DP will not duplicate other forms of support provided to the entity, such as technical assistance.

3. Purpose and intended use: the use of fees by the AE or DP will be subject to reporting and certification. It is intended that fees are used to support the implementation of GCF projects and other eligible GCF-related activities.

4. Periodic review: the fee structure (as presented under annex II) will be reviewed in 2 years and adjusted based on the business realities. The Secretariat should, on an annual basis, provide an analysis of fee levels across the different types of projects to the Board.

5. Economies of Scale: AEs or DPs managing more than five GCF projects or readiness support projects, respectively, are expected to explore synergies in the management of projects in their GCF portfolio, which should result in cost savings across the portfolio of projects under management, which is to be reflected in the fee request.

6. Where the AE also undertakes an executing entity (EE) role in the same project that it would serve as an AE,[1] the AE must clearly differentiate between its responsibilities as an AE (e.g. oversight, supervision and management) and its responsibilities as the EE.

7. The percent of project management costs (PMC) financed by GCF should not be more than the percentage share of the overall budget financed by GCF. The PMC should be shown as a separate component in the project budget. A detailed breakdown and explanation of the components of PMC should be provided.

8. PMC exceeding 5 per cent for a funding proposal exceeding USD 3 million will require detailed documentation supporting the entire PMC budget.

9. PMC exceeding 7.5 per cent for funding proposals, Readiness proposals (including national adaptation plans, or NAPs), and Project Preparation Facility (PPF) proposals up to USD

[1] Per the accreditation master agreement template considered by the Board at its twelfth meeting and contained in annex XXVI to decision B.12/31, "executing entity" means any entity, which includes, as the case may be, a developing country that is a party to the Convention, through which GCF proceeds are channeled or used for the purposes of a funded activity or parts thereof, and/or any entity that executes, carries out or implements a funded activity, or any part thereof. For the avoidance of doubt, the accredited entity may also carry out the functions of an executing entity.

3 million will require detailed documentation and justification supporting the entire PMC budget.

10. In cases where the AE or DP also undertakes an EE role in the same project that it would serve as an AE or readiness activity that it would serve as a DP, the same should be clearly identified in the funding proposal or readiness proposal, respectively. The AE or DP must clearly differentiate between its role as an AE or DP (e.g. oversight, supervision and management) and the EE role in the project and establish appropriate institutional arrangements, clear lines of responsibilities and accountabilities.

II. Applicability of the fees policy

11. The revised fee policy applies to public sector grant instruments for projects/programmes, PPFs and the Readiness Programme, including NAPs or other adaptation planning processes, approved by GCF after B.19.

12. Fees for private sector projects/programmes and fees for non-grant public sector projects/programmes are negotiated on a case-by-case basis and shall not exceed the fees cap as set out in Annex II.

III. Indicative list of eligible costs covered under GCF fees

13. The following is a list of activities to be financed by AE or DP fees:

3.1 Project implementation and supervision

(a) Appraise and finalize project implementation arrangements, including mission travel;

(b) Assist and advise the project proponent on the establishment of project management structure in the recipient country/countries;

(c) Assist project management to draft terms of reference (TOR) and advise on the selection of experts for implementation;

(d) Advise on and participate in project start-up workshops;

(e) Conduct at least one supervision mission per year, including briefing operational focal points on project progress;

(f) Provide technical guidance, as necessary, for project implementation’

(g) As necessary, include technical consultants during supervision missions to advise government officials on technical matters and provide technical assistance for the project as needed;

(h) Oversee procurement and financial management to ensure implementation is in line with the policies and timelines of the AEs or DPs;

(i) Disburse funds to the EEs/vendors (as applicable) and review financial reports;

(j) Assist/oversee the audit process throughout the project life cycle;

(k) Oversee the preparation of the required reports for submission to the Secretariat;

(l) Monitor and review project expenditure reports;

(m) Prepare periodic revisions to reflect changes in annual expense category budgets; and

(n) Undertake a midterm review, including possible project restructuring.

3.2 Project completion and evaluation

(a) Oversee the preparation of the project completion report/independent terminal evaluation, and submit the report to the Secretariat;

(b) Prepare project closing documents for submission to the Secretariat; and

(c) Prepare the financial closure of the project for submission to the Secretariat.

3.3 Reporting

(a) Include all the reporting requirements as agreed in the accreditation master agreement (AMA) and funded activity agreement (FAA).

IV. Indicative list of eligible project management costs

14. The following list provides a useful illustration of the project management activities and costs that can be included in funding proposals under project management costs.

4.1 Project management activities

(a) Preparation of the annual project work plans/programmes and budgets, including analysis and reporting;

(b) Preparation of procurement plans;

(c) Preparation of the project withdrawal requests for disbursement;

(d) Preparation of TOR and procurement packages;

(e) Tracking and monitoring of project costs and deliverables to plan;

(f) Maintenance of a knowledge and records management system;

(g) Preparation of progress reports and financial management reports;

(h) Support to the project steering committee/project board or equivalent body; and

(i) Liaisons with the auditors on any audit related matters.

4.2 Eligible project management costs

4.2.1. Project staffing and consultants

(a) Project manager;

(b) Project assistant;

(c) Procurement personnel;

(d) Finance personnel; and

(e) Support/administrative personnel.

4.2.2. Other direct costs

(a) Office equipment;

(b) Mission-related travel costs of the project management unit;

(c) Project management systems and information technology; and

(d) Office supplies.

4.2.3. Project activities and costs not covered in project management costs

(a) Costs of salaries and benefits of seconded staff from the EEs, unless pre-approved by GCF;

(b) Costs of salaries and fees for AE staff or consultants, unless these have been pre-approved by GCF;

(c) Budgeted costs under general classifications such as miscellaneous or unspecified;

(d) Any budgeted costs indicated as contingent costs; and

(e) Monitoring of project indicators and periodic monitoring reports (these are budgeted under the measurement and evaluation budget and is a separate line of the project costs.

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